DRN-6259997

Complaint

Miss W is unhappy that Revolut Ltd didn't reimburse her after she reported falling victim to a scam

Background

In or around June 2025, Miss W was searching for a rental property. She identified a property that had been advertised and made contact with the individual presenting themselves as the landlord. Miss W was informed that, in order to secure the tenancy, she would need to pay rent in advance together with a deposit. She proceeded to make a number of payments to the landlord using her Revolut account.

Some months later, Miss W became aware of issues concerning the legitimacy of the arrangement. In particular, she discovered that her deposit had not been placed into a government-approved tenancy deposit protection scheme, as required by section 213 of the Housing Act 2004. She also learned that the property had a low Energy Performance Certificate (EPC) rating, meaning that letting the property was likely in breach of the Minimum Energy Efficiency Standards.

Miss W was understandably concerned by these matters. She contacted Revolut and asked it to refund the payments she had made, on the basis that she had been the victim of an authorised push payment (APP) scam. Revolut considered her claim but declined to provide a refund. It said that, in its view, Miss W had not been the victim of an APP scam, but was instead involved in a private civil dispute with the landlord.

Miss W did not accept Revolut's position and referred her complaint to this service. An Investigator considered the complaint but did not uphold it. Miss W disagreed with the Investigator's conclusions and asked for the matter to be reviewed. The complaint has therefore been passed to me to consider and issue a final decision.

Findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Under the Payment Services Regulations 2017 and the applicable account terms and conditions, a firm is generally required to execute payments that have been authorised by its customer. Where a payment has been authorised, the customer is, in principle, liable for that payment. It is not in dispute that Miss W authorised the payments she made to the landlord. On that basis, she is presumed to be liable for those payments in the first instance.

However, that isn't the end of the story. Under the Faster Payments Scheme reimbursement rules introduced by the Payment Systems Regulator on 7 October 2024, customers may be entitled to reimbursement where they are victims of APP scams. There is no entitlement to reimbursement, though, where what happened does not meet the rules' definition of an APP scam.

The rules define an APP scam as

> *"Where a person uses a fraudulent or dishonest act or course of conduct to manipulate, deceive or persuade a Consumer into transferring funds from the*

Consumer's relevant account to a relevant account not controlled by the Consumer, where:

• The recipient is not who the Consumer intended to pay, or

• The payment is not for the purpose the Consumer intended"

The rules also make clear that reimbursement does not apply to private civil disputes. A private civil dispute is defined as:

"a dispute between a Consumer and payee which is a private matter between them for resolution in the civil courts, rather than involving criminal fraud or dishonesty."

The central issue for me to decide is whether the circumstances of this case amount to an APP scam within the meaning of the rules, or whether they more properly represent a private civil dispute. The threshold for establishing fraud is a high one. In criminal proceedings, the standard of proof is "beyond reasonable doubt," but this service assesses cases using the civil standard of proof, which is based on the balance of probabilities. Under this standard, a finding of fraud must be more likely than not. Even so, the bar remains high. It is not enough for fraud to be a compelling or persuasive explanation, nor is it sufficient for it to be the most likely among several possible explanations. It must be more probable than the opposite conclusion i.e. that fraud did not occur.

I have carefully considered all of the available evidence in light of the definition of an authorised push payment (APP) scam set out above. Having done so, I am not persuaded that there are grounds to conclude that Miss W has been the victim of an APP scam.

In this case, the fundamental purpose of the payments was to secure accommodation. On the evidence I've seen, both Miss W and the landlord shared that objective. Miss W intended to obtain a tenancy, and the landlord intended to grant one in return for rent and a deposit. In that sense, the parties' purposes were aligned at the time when the payments were made.

The dispute which has subsequently arisen relates to the landlord's compliance with legal obligations on the letting of residential property. In particular, Miss W has identified that the landlord did not protect the deposit in accordance with section 213 of the Housing Act 2004 and that the property may not have met the Minimum Energy Efficiency Standards due to its EPC rating. While those are serious matters, and I recognise Miss W's concerns, non-compliance with statutory obligations does not necessarily mean that an APP scam has occurred.

The available evidence indicates that Miss W was granted occupation of the property in exchange for the payments she made. In other words, she received the core service she had contracted for. None of this should be taken as an endorsement of the landlord's conduct. Miss W is correct to point out that the landlord appears not to have complied with certain legal requirements. However, it is possible that such failings arise from negligence, ignorance, or disregard for regulatory obligations, rather than from a deliberate and dishonest misrepresentation designed to induce payment.

I've not seen evidence that the landlord made specific false representations to Miss W about compliance with deposit protection requirements or energy efficiency standards at the time the payments were requested. While the landlord's conduct could fairly be described as underhand, I'm not convinced that it amounts to fraud or that the elements of an APP scam have been demonstrated.

Miss W has said that she believed she was dealing with a legitimate landlord but, in reality, ended up paying towards an unlawful and non-compliant tenancy. I understand why she feels this way. However, the fact that a tenancy arrangement may have involved breaches of regulatory requirements doesn't necessarily undermine the existence of the tenancy itself, nor does it mean that the payments were induced by deception of the kind typically seen in APP scams.

It is also relevant that the landlord's non-compliance does not remove Miss W's legal rights. For example, although the deposit was not protected as required, Miss W would still have the right to seek its return. Indeed, if she were to pursue the matter through the courts, the landlord could be ordered to pay a financial penalty of up to three times the value of the deposit. Similarly, any breach of the Minimum Energy Efficiency Standards would ordinarily be a matter for enforcement by the local authority, potentially resulting in significant financial penalties for the landlord. It goes without saying that, if she does opt to take action through the courts, she should seek legal advice before doing so.

Overall, I'm not persuaded that Miss W was the victim of an APP scam here and so I don't think there's any basis on which to require Revolut to reimburse the payments she made.

Final decision

For the reasons I've explained above, I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss W to accept or reject my decision before 18 June 2026.

James Kimmitt
Ombudsman